

# Summary of Conclusions

## EU T+1 Coordination Committee

|                  |                                                                                                                                                                                              |
|------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Date:</b>     | Friday 4 June 2025                                                                                                                                                                           |
| <b>Time:</b>     | 15:00 – 17:00                                                                                                                                                                                |
| <b>Location:</b> | Microsoft Teams                                                                                                                                                                              |
| <b>Contact:</b>  | <a href="mailto:karole-anne.sauvet-frot@esma.europa.eu">karole-anne.sauvet-frot@esma.europa.eu</a> ;<br><a href="mailto:sandra.andersson@esma.europa.eu">sandra.andersson@esma.europa.eu</a> |

### 1. EC update

The EC representative reported that the legislative process was advancing well, as both the European Parliament and the Council have agreed their positions (both agree on the date for the move to T+1; they also have similar views on the exemption of SFTs and on the cash penalties suspension). Intention is to start and finish trilogue negotiations in June.

### 2. ECB update on T2S preparations for T+1 [slides available]

An ECB representative provided an update on the preliminary analysis of the T2S governance on the potential impacts of T+1 on T2S, noting that:

- After the publication of the Industry Committee (IC) draft recommendations by end June, the T2S governance plans to start the T2S Change and Release Management process, as per the T2S governance arrangements. Tentatively, and subject to a decision of the ECB Market Infrastructure Board, any potential changes in T2S would need to be deployed by June 2027. As is usually the case in such market-wide relevant T2S releases, testing with T2S stakeholders will be planned before and after the June 2027 software release.
- Quality, clarity and substantiation of recommendations will bring efficiency and mitigate implementation risks when T2S governance starts the T2S Change and Release Management process [Q3 2025] - each T2S change request is subject to a detailed feasibility assessment including cost/benefit analysis, as per the existing T2S governance and framework.

- The ultimate objective of T2S is to be ready for 11 October 2027 across all T2S markets, maintaining at least the same level of settlement efficiency while striking a balance vis-a-vis what can realistically be achieved by that date and what can follow a more long-term timeline, going beyond the T+1 entry into force date.

The EC representative reminded of the need for everyone to be ready on time. The IC Chair added that a key part of the work to be conducted by the IC in 2026/2027 would be to communicate, educate, and survey market preparedness, but involvement of authorities will also be key. The Coordination Committee Chair highlighted the collective responsibility of both the authorities and the industry to make sure everyone is aware and ready, and the need to continue to communicate to support this objective.

### 3. Industry Committee Chair update [slides available]

The IC Chair shared a few highlights on the main recommendations the Industry Committee is finalising. These high-level recommendations:

- Address all critical issues identified by technical workstreams (“nice to have” to be addressed at a later stage)
- Will be non-binding (“adhere or explain” approach)
- Are based on current arrangements and timetable, but can be updated if necessary

For those requiring additional work: some issues should be solved in the coming days to be incorporated in the roadmap, others will be further discussed to be included in a second document (a best practices rulebook) to be published later this year.

The Coordination Committee Chair, as well as the representatives of ESMA, the European Commission, and the ECB congratulated the IC Chair for the work already accomplished by the IC.

Next steps:

| <i>date</i>         | <i>Step</i>                                                           |
|---------------------|-----------------------------------------------------------------------|
| <b>30 June</b>      | Official report release, for public consultation until end of August. |
| <b>Post-30 June</b> | Public statement and press release                                    |
| <b>by mid-July</b>  | Public Event to present the road map                                  |
| <b>Oct-Nov</b>      | Roadshow                                                              |

### 4. ESMA update

ESMA staff provided an overview of the preliminary outcome from the public consultation on possible amendments to the RTS on settlement discipline, which closed mid-April.

Analysis is still on-going but at this stage, on the issues that are relevant to the T+1 transition (e.g. allocations and confirmations, settlement instructions matching fields, CSDs' settlement efficiency optimisation tools, CSDs' settlement schedules), no divergence with the IC draft recommendations has been identified.

Next steps include discussions with the national competent authorities, aiming at submitting a draft RTS to the ESMA Board of Supervisors for approval in October 2025.

## 5. AOB - none

### Participants

|           |                                                                                                                                                                                                                                 |
|-----------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Chair     | Verena Ross, ESMA Chair                                                                                                                                                                                                         |
| Members   | Giovanni Sabatini, EU T+1 Industry Committee Chair<br>Carsten Ostermann, ESMA, Markets and Digital Innovation Department<br>Jennifer Robertson, EC, DG FISMA<br>Fiona van Echelpoel, ECB, DG Market Infrastructure and Payments |
| Observers | ECB staff, ESMA staff                                                                                                                                                                                                           |

**Next scheduled meetings:** 22 September and 5 December 2025